

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

America said it launched new strikes on Iran, which Iran responded to by attacking American bases in Bahrain and Kuwait. Iran claimed it had attacked two ships trying “illegally” to transit the Strait of Hormuz. Iranian state media said the strait was now “completely closed” to traffic. America’s **Central Command** denied that the waterway was shut. The two countries have been exchanging fire since Tuesday, despite a nominal truce.

Israeli air strikes killed at least 17 people in southern **Lebanon**, according to local officials. Israel says it **is targeting** Hizbullah, an Iran-backed militia. Iran previously threatened to retaliate against Israel if it continued to strike Lebanon. Earlier the United Nations said investigators will visit Lebanon to look into possible violations of international law by “all parties” fighting in the country.

America’s annual inflation rate was 4.2% in May, up from 3.8% in April and the highest in three years. The core inflation rate, which strips out food and energy prices, was 2.9%. The Federal Reserve is expected to leave interest rates unchanged at its monetary-policy meeting next week, but **may raise them** before long. Donald Trump wants the central bank to cut rates.

Hong Kong charged seven people and two companies over a **fire** at a housing complex that [killed 168 people](#) in November. The defendants were involved in renovations of the buildings. The charges, including manslaughter and conspiracy to defraud, are the first to come out of a months-long inquiry into the blaze. The investigation's lawyer said that fire-safety appliances failed "because of human errors".

Police used water cannon to disperse rioters during a second night of unrest in **Belfast**. A crowd threw bricks, stones and bottles at officers trying to control anti-immigration demonstrations that had turned violent. [The protests](#) came after a Sudanese man allegedly stabbed a man, seriously injuring him. Hadi Alodid was charged with attempted murder; his motive is being investigated.

Friedrich Merz said **Germany** and **France** would continue working on a "combat cloud" despite the collapse of their effort to develop a next-generation fighter jet. Germany's chancellor said the countries would present plans for the network, a means to share data between planes, drones and other systems, by July. The [jet-building programme](#), which also involved Spain, fell apart because of disputes between French and German defence firms.

A group of **Brazilian** senators put forward a bill to give the **central bank** control over its own budget, rather than the government. The bank argues it needs budgetary autonomy [to supervise](#) Brazil's growing finance industry effectively. The government opposes the bill, fearing a loss of influence. It must now pass both chambers of Brazil's Congress to be enacted.

Figure of the day: \$1bn, the yearly sum Apple will pay Google for its AI technology. [Read about the iPhone maker's plans to leap ahead in the AI race.](#)



Photograph: Alamy

Japan's wariness of doing business in China

On Thursday the Japanese Chamber of Commerce in China, which represents more than 8,000 firms, publishes its annual report on doing business in the world's second-largest economy. Relations between the countries are [strained](#). In November Takaichi Sanae, Japan's prime minister, said that a Chinese attack on Taiwan could trigger a Japanese military response. China reacted furiously; it warned its citizens against visiting Japan and imposed export controls.

Even before the spat, Japanese were becoming more reluctant to work in China. In 2024 the number of Japanese residents in China fell below 100,000 for the first time in two decades. In that year Japan's net direct investment in China slumped to a third of its peak in 2021. Businesses are wary of a Chinese anti-espionage law that has led to the arrest of several Japanese executives. The Chamber of Commerce will probably repeat calls for China's government to create a "safe and secure environment" for Japanese workers.



Photograph: AP

Northern Ireland's anti-migrant violence

Belfast is still on edge. On Monday night a Sudanese refugee viciously stabbed a local man. The next day the Northern Irish city erupted in violent protests. Demonstrators clashed with police, but their targets were foreigners. They kicked in doors, torched cars and set homes alight.

This is Northern Ireland's third consecutive year of anti-migrant violence. The unrest involves the organisational muscle of pro-British paramilitaries, who are still around a quarter-century after the end of the sectarian violence known as the Troubles. This week's violence happened overwhelmingly in poor areas and ones controlled by loyalist outfits. Right-wing British parties have [exploited the stabbing](#) to push previously taboo ideas, such as mass deportations and even the death penalty. Restore, a far-right outfit, pledged to put "third-world savages to death". Few Britons support such racist language. But small parties are pulling more mainstream ones farther right.



Photograph: Alamy

Adobe shrugs off the AI threat

Adobe, a software firm, reports earnings on Thursday. Its shares have lost about 30% of their value this year as [investors fret](#) that AI will obviate the need for expensive subscriptions to Photoshop and Illustrator. AI-powered tools are making it easier for users to create images and write code, as well as for startups to challenge established companies.

In the case of Adobe, such fears look either overblown or premature. Adobe posted record revenues during the first quarter. The firm has also embraced AI, integrating image-generation tools into its products. It argues that the technology will boost demand rather than erode it. Thursday's results will offer clues about whether AI is a threat to Adobe's business model—or its next growth engine.



Photograph: Reuters

Europe braces for higher interest rates

The European Central Bank is facing a dilemma ahead of its meeting on Thursday. War in Iran has [driven up inflation](#): the annual rate was more than 3% in May. Businesses report price pressures rising to levels last seen in 2022, when Russia's invasion of Ukraine and booming post-pandemic demand drove up costs. The situation seems to call for a rise in interest rates, which markets expect.

At the same time, the war is expected to dent economic growth. Consumers are downbeat, perhaps in part because a weaker economy may not sustain the generous wage rises of recent years. To boost the economy the ECB would have to cut rates. But its main mandate is price stability, so the bank will probably feel obliged to send a signal that it will not tolerate another cycle of high inflation. It would be a rate hike that nobody really wants.

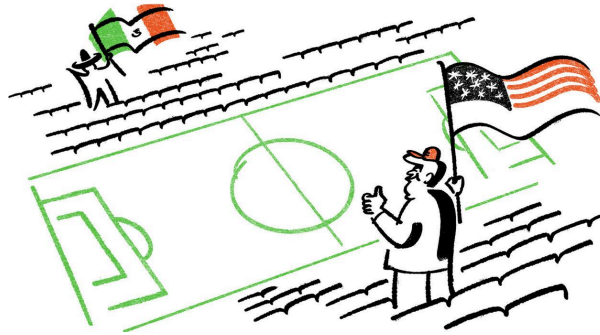


Illustration: Sandra Navarro

A World Cup like no other

On Thursday Mexico will kick off the 2026 men's World Cup in a match against South Africa at the Estadio Azteca in Mexico City. America and Canada are also hosting the tournament, which is the biggest yet, with 48 countries competing, up from 32 in 2022.

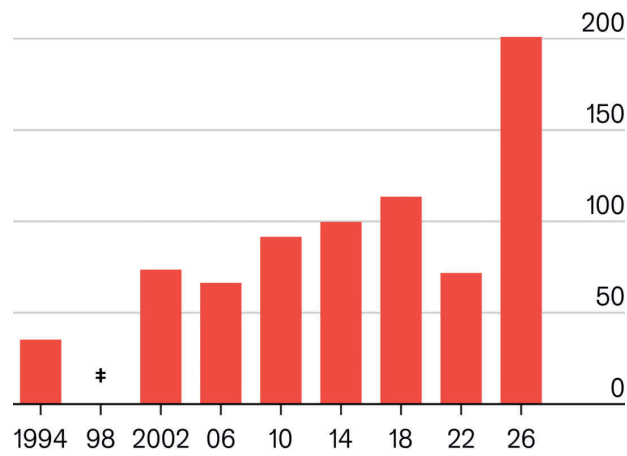
Even before the first whistle, there has been controversy. Relations between the host governments are [at a nadir](#) because of Donald Trump's tariffs and threats against his North American neighbours. [Exorbitant ticket prices](#) may leave thousands of empty seats. And on Saturday a Somali referee set to officiate matches was refused entry to America despite having a visa.

Football's governing body, FIFA, will hope fans are too absorbed by the action on the pitch to notice. Supporters of Cape Verde, Curaçao, Jordan and Uzbekistan will see their teams appear for the first time. The likeliest winners, though, are familiar: Spain and France are the favourites.

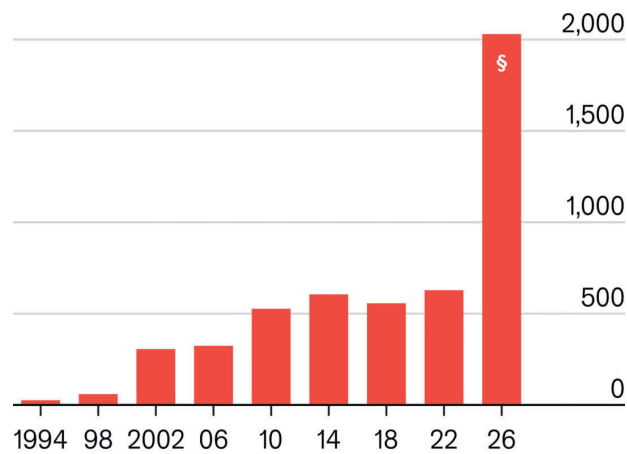
The cost of happiness

Men's football World Cup,
cheapest tickets*, \$, 2026 prices

Group stage[†]



Final



*Does not include discounted tickets offered
to residents of host countries, or those resold

[†]Average across all matches [‡]No data available

[§]Less than 3% of tickets sold at this price

Sources: WorldCupGuide.com; FIFA



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: What is the capital of the Mexican state of Jalisco?

Wednesday: The First Continental Congress met in 1774 in which city?

*Language most shows a man;
speak that I may see thee.*

Ben Jonson